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China Economics | Asia Pacific

Politburo: Faster Fiscal Rollout, Not a Pivot Yet

Key Takeaways

- Fine-tune, not pivot: Beijing acknowledged mounting economic challenges and called for faster rollout of previously announced policies, not a new stimulus package.
- Execution of ~RMB2tn in-budget fiscal impulse: Faster government bond issuance, use of new policy-based financial instruments, and broader interest rate subsidies.
- Still supply centric: Policy support remains focused on hard tech ("AI+") and infrastructure ("Six Networks"); no concrete measures specified on consumption or housing.
- Sept.-Oct. as the catalyst window: Beijing pledged to push out "effective and practical new measures in time", suggesting broader easing if Jul-Aug data miss.

Budget rollout in focus: The July politburo echoed our [preview](#): Growth concerns rose modestly, but this does not yet appear to be a pivot point. Faster budget execution is the priority, with Beijing still sitting on ~Rmb2trn of unused in-budget fiscal and quasi-fiscal impulse for 2H. The meeting urged accelerated government bond issuance and deployment, and called for stronger fiscal-monetary coordination, which could mean faster use of new policy-based financial instruments (Rmb800bn this year vs. Rmb500bn in 2025) and broader interest rate subsidies (though still within the Rmb100bn budgeted amount).

Policy mix remains supply-centric: The meeting called for stronger infrastructure investment in the "six networks" and greater support for AI+ diffusion across emerging industries. Consumption, social welfare and the housing market were briefly mentioned, but without specified supporting measures.

Sept.-Oct. is the potential catalyst window: The pledge to prepare practical, effective incremental measures in a timely manner preserves optionality – should July-August activity fails to firm up, the likelihood of additional easing in Sept.-Oct. would increase.

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Exhibit 1 : Comparison of July vs. April politburo meeting statements

Politburo Meeting		
	Apr-26	Jul-26
What's New		
Economic Assessment	Economy off to a strong start, key indicators better than expected	More cautious tone: remain highly vigilant to economic challenges
Policy Stance	Targeted and effective policy implementation	Policy fine-tune, not pivot • Faster rollout of existing policies • Prepare practical and effective incremental measures • Enhance fiscal-monetary coordination
What's Unchanged	✓ Continued supply-centric framework: - AI+ and other emerging frontiers - Six networks	
Policy Priorities	Housing and consumption: - Stabilize housing market - Modest social welfare support Continued local debt resolution and anti-inflation	

Source: Government website, Morgan Stanley Research

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